

March 2011

RE: AER-xxxxxx

Dear Prof. xxxxx,

I have completed my report of "xxxxxxx."

While I think the topic of maternity leave is extremely important and it is exciting to see research on a policy that affects a broad group of families (pretty much all of Canada) rather than those who are disadvantaged, I do not think many *AER* readers would find this paper very convincing. The estimates are based on a simple difference over time, controlling for time with various functional forms. Given this approach, I was surprised that the authors didn't show a bunch of figures with unadjusted means (like we all enjoy seeing in RD designs). This paper's major shortcoming is that it does not consider the possibility of composition bias. All of the effects the authors find could be driven by non-random impacts on fertility. In particular, if the policy induced less able/healthy families to have children, that would explain the negative impacts of the policy expansion on children's outcomes. Given these concerns, I do not recommend that you pursue this paper for potential publication in the *AER*.

Sincerely,
Jason Lindo
Assistant Professor
Department of Economics
University of Oregon